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Tata McGraw Hill Professional: *Finance Made Easy Series*

How to Read A BALANCE SHEET

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Financial success is the *raison d'être* of any business, and financial health of any organization is reflected in its financial statements. But, it has been observed that managerial professionals often have little understanding of finance and little time to read treatises on it. Further, financial statements are regarded as too complex to understand and left to be 'deciphered' by finance experts. Hence, cultivating a culture of awareness and transparency of finance is a prime imperative.

Finance Made Easy Series has been designed to impart management executives with adequate knowledge to understand and appreciate financial statements and their implications for the fiscal solvency of their firms. This series seeks to demystify apparently complex financial statements, and help create a finance-savvy executive class, the key to fiscally sound and successful businesses. A lucid, creative and concise exposition of financial statements—their components, jargon and computational methods—with short stories and numerical examples makes for an engaging reading for busy professionals.

Titles in the series include:

- How to Read a Balance Sheet
- How to Read an Income Statement
- How to Read a Cash Flow Statement

and many more…

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How to Read A BALANCE SHEET

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To

Rathi — *Kunju's and Chinku's mother*

and

Kavita — *Dhruva's and Ananya's mother*

Preface

For any business organization, financial success is arguably the primary purpose around which all management activities revolve. So, there is an imperative need to promote a culture of awareness of finance throughout an organization. In order to build a strong organization, employees in all the departments need to understand the ramifications of their actions on the overall fiscal health of the organization. For this to happen, it is very important that even managers without or with little knowledge of finance have an adequate understanding of finance. The pervasiveness of such understanding may ultimately prove to be the differentiator between a successful and a mismanaged (even bankrupt) organization. Satyam Computers is an apt example. In 2009, the company collapsed. Had even one of the board members of the organization been financially savvy and honest, the damage could have been averted.

These books of 'Tata McGraw Hill Professional: *Finance Made Easy Series*' have been written to impart management executives with the knowledge of finance to understand and appreciate financial statements. The series is an attempt at breaking the myth that financial statements like Cash Flow Statement and Balance Sheet are too complex to comprehend.

This book focuses on 'Balance Sheet', which is perhaps the most important financial statement for any business organization. Whenever you came across them, you might have assumed them to be complicated documents, decipherable only by a financial expert like a practicing

Chartered Accountant or a high-powered spectacled 'fin-guy' of your organization. Trust us, once through with this book, you would comfortably be able to make your way past the difficult-sounding jargon and be confident of making sense of 'Balance Sheet'.

NEELAKANTAN RAMACHANDRAN
RAM KUMAR KAKANI

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Finally, we are very grateful to our family members including—Ananya, Chinku, Dhruva Govind, Karuna, Kunju, and Rathi. Thank you all!

Comments from readers are most welcome.

NEELAKANTAN RAMACHANDRAN

RAM KUMAR KAKANI

Contents

Introduction

You must have wondered why people talk a lot about balance sheet. While reading the appointments section of a popular newspaper, you often come across statements which say *"We are looking for an HR professional who speaks the language of business."*

What Does That Mean?

It means that the company is looking for professionals who know the role, financial statements play in making decisions. It also means that they want someone who would be able to grasp the decisions taken by the financial executives and work towards a common goal.

In order to satisfy the afore-mentioned requirement, you should be well aware of the role of the balance sheet in decision making. Although you do not need the ability to understand finances or juggle with numbers and projections with the same ease as a finance manager does, however, if you sit at the executive team meeting devoid of even the most rudimentary understanding of numbers, you will seldom contribute anything of value to strategic organizational decisions. If you are a systems lead or a production manager who does not understand the financial underpinnings that drive decisions taken by the top management, you will struggle during executive level discussions.

Please do not be disheartened even if you feel that you do not satisfy the above criteria, since we assure you that by the time you have finished reading this book, you would have the world of the balance sheet demystified for you; and you would be able to walk into the board meetings with utmost confidence and flair.

1 CHAPTER

The Balance Sheet

To begin with, let us understand the concept of balance sheet with the help of a simple story in order to deal with the subject matter properly.

Example 1: Golumal

Once upon a time in Ramgarh, there lived a wealthy man named Golumal. He had two sons, Chotu and Motu. They got married and their wives compelled their husbands to ask for a share of their father's property.

The very next day, Chotu and Motu expressed their desire to Golumal that the property be divided between them. While Golumal had no qualms in distributing the property between the two brothers, he got confused as to how should he equally divide it. He took the obvious decision of approaching a reputed consultant. He requested the consultant to give him a solution so that the domestic dispute could be resolved amicably.

The consultant asked Golumal two specific questions:

1. **What** are the things of value you **own**?
2. How much do you **owe,** and **to whom**?

Golumal replied,

Things I own are:

- Rs. 600,000 in cash.
- 100 shares in Popat Technologies Limited worth Rs. 100,000.

- Land worth Rs. 8,00,000.
- Two buildings, each worth Rs. 705,000, i.e., Rs. 1,410,000.
- Two second hand cars, each worth Rs. 45,000; i.e., Rs. 90,000.

Things that I owe are:

- Rs. 1,400,000 to Bholumal.
- Rs. 500,000 to Rajumal.

The consultant reminded him that now Golumal also owed Rs. 100,000 to the consultant as his consultancy fee.

After noting down the information provided by Golumal, the consultant started working out the solutions. This is how he proceeded:

- First, he segregated the components that Golumal owned and the ones that he owed in two different groups.
- Second, he prepared the following format (Table 1.1), wherein he put the things Golumal owned on the left side and the ones he owed on the right side.

Table 1.1 ***Property of Golumal as on 1st March, 2009***

Things Owned	Rupees	Things Owed	Rupees
Cash	600,000	To pay (Bholumal)	1,400,000
Shares of X Co.	100,000	To pay (Rajumal)	500,000
Land	800,000	To pay (Consultant)	100,000
Buildings	1,410,000	*Balancing Amount (Net worth)*	1,000,000
Car	90,000		
Total	**3,000,000**	**Total**	**3,000,000**

- Then the consultant divided the property of Golumal equally between Chotu and Motu. The task of division became very easy after preparing Table 1.1. The next table (Table 1.2) shows how their individual balance sheets appeared.

These two tables are nothing but the *balance sheets*. Yes, the balance sheets are that simple. Now, let us take you through the concepts.

Table 1.2 ***Equal Distribution of Property between Chotu and Motu***

Things Owned	Rupees	Things Owed	Rupees
Cash	300,000	To pay (Bholumal)	700,000
Shares of X Co.	50,000	To pay (Rajumal)	250,000
Land	400,000	To pay (Consultant)	50,000
Buildings	705,000	*Balancing Amount (Net worth)*	500,000
Car	45,000		
Total	**1,500,000**	**Total**	**1,500,000**

Let us start with very simple definition of a Balance Sheet:

The Balance Sheet is a summary of the financial position of an organization at a particular point of time. This position is conveyed by listing all the things of value (assets) owned by the organization on one side and the payables owed by the organization on the other side.

What is a Balance Sheet

From the above definition, we can infer that a balance sheet is prepared to give a synopsis of the present economic standing of the organization in an easy way. It can be done by simply listing down all the possessions and holdings of an organization on one side and all the borrowings and dues on the other side.

This is exactly what the consultant did in the earlier example. While preparing Golumal's balance sheet, the consultant asked Golumal about the property that he had. Then he listed all of Golumal's property on the left side of the sheet. After that, he summed up all the amounts. The total came to a figure of Rs. 3,000,000. Then he listed all the borrowings and the payables of Golumal on the right hand side. The total, came to an amount of Rs. 2,000,000. He observed a difference of Rs. 1,000,000 between the sides. This amount of Rs. 1,000,000 was put on the right hand side as the balancing figure. This balancing figure is Golumal's net worth. The net worth will be discussed in more detail subsequently.

Having gone through the earlier example, we are now in a position to understand a more comprehensive definition of the balance sheet:

★★★

Balance Sheet *The Balance Sheet is a **quantitative** summary of a company's financial condition at a specific point in time, which includes **assets**, **liabilities** and **net worth**. It is a snapshot of the financial health of an entity.*

★★★

Bholuram: Hey Finnova. I do not understand the implications of the words like "particular point in time" and "snapshot" in your definitions of the Balance Sheet.

Finnova: See Bhola, the Balance Sheet provides certain information about the financial position of the company. This information is true only at the particular point in time in which the Balance Sheet has been prepared. It, sort of, gives a snapshot of the organization at the moment. Since, there are frequent transactions that a company gets into, the Balance Sheet position of a company changes quite rapidly. The previous Balance Sheet cannot be said to be true for the changed position of the company.

The following are new terms that we came across in the above definition:

Quantitative

By quantitative, we mean something that is expressible in a definite quantity. All the elements that are present in the balance sheet should be measurable in clear-cut monetary terms, i.e., in terms of money (say, Indian Rupees). Their value should be ascertained and only then they should be included in the balance sheet. This is precisely the reason why something like the value of human resources, an organization possesses is not shown in a standard balance sheet.

Assets

Assets are possessions or things of value owned by a firm or an individual. Accountants use the term *assets* to describe things of value measurable in monetary terms. Hence, *these are the economic possessions a company has*. It can be the buildings of your company, the land on which your company has been built, or the raw material stock that you have on your shop floor. You can also consider the cash kept with your company's bank account as your company's assets. In Golumal's case, the cash, shares, land, buildings and cars are the assets owned by Golumal.

Liability

No company can get funds on its own. Essentially, there are two sources from which an entity draw funds. The first are the owners of the firms and second are some external agencies — banks, financial institutions or some specific individuals. The company uses the money, thus brought in from these external agencies, for buying the assets mentioned above. So, at any given point of time, a company has the liability or the obligation to pay the money back to these lenders (say, banks, company's suppliers including vendors, etc.). *This amount owed by an entity, which represents a claim by outsiders, is referred to as* liabilities.

Alternatively, a company may also have an obligation to compensate certain organizations or individuals for rendering some service to the company (e.g., wages or electricity bill). This obligation will also be termed as the liability of the company. So, liability may be said to be the obligation of the company or the claim of the outsiders against the business. Liability is the amount owed by the business to people who have lent money or provided goods or services to the company. In the Golumal's case, the amount owed by him to Bholumal, Rajumal and the consultant are the liabilities of Golumal.

Net Worth

In our previous discussions we had identified two sources of funds for an organization, i.e., owners and external sources. *The funds contributed by the owners of a business is part of what is known as the Net Worth, also often known as Owners' Equity or Total Shareholders' Funds.* Net Worth is the amount that a company owes to its owners. The Net Worth essentially comprises of two components. First is the owners' contribution to the company and second is the profit earned by the company through its operations. The profits earned and retained quite obviously belong to the owners of the company. As discussed, various other terms are used to convey the same meanin2g as the net worth including Shareholders' Equity and Owners' Fund. The Net Worth can be found out by subtracting liabilities from assets. In case of Golumal, Rs. 1,000,000 (the difference between Rs. 3,000,000 and Rs. 2,000,000) is the Net Worth of Golumal. This is what the business owes to him.

Bholuram: You mentioned that Net Worth stands for the Owners' Fund and Liability stands for the obligation of the firm towards the external parties. Yet, in the Balance Sheet, I have seen both being listed under the head of Liabilities.

Finnova: Nice observation, Bhola. Let me explain. When seen from the perspective of a company, both the amounts i.e., the one owed to the owners (shareholders) and one that is owed to other (external) parties are Liabilities. Hence, both are classified as Liabilities in a Balance Sheet. However, in common parlance and for all practical purposes, Liabilities have come to mean only the part which is owed to the external stakeholders.

★★★

Balance Sheet *Assets = Liabilities + Net Worth (Owners' Equity)*

★★★

Now, we come to a more detailed discussion of the previously mentioned equation.

Balance Sheet Equation

Assets = Liabilities + Net Worth (Owners' Equity)

Perhaps, the above mentioned equation is the most important equation in the world of finance. This equation is the one from which balance sheet derives its name. The two sides of a balance sheet, i.e., the assets and the Liabilities, as a thumb rule always balance out. This is perfectly logical too. A company basically purchases assets by using the funds that it generates through the liabilities. So, the sides *have to* balance out. As mentioned earlier, this fund is generated either by making external borrowings (liabilities) or by drawing it from the owners or the shareholders of the company (and hence known as Owners' Equity or Shareholders' Fund or Net Worth).

As previously explained, the company has an obligation to pay back the external lenders and the owners. Therefore, these funds have been utilized by the company to own the assets on the left side of the balance sheet. Hence, liabilities can be described as *claims of outsiders*, against an entity, while shareholders' fund can be taken to mean the *claims of owners* against a company. It is also recognized that the outsider(s) claim or liability has primacy over the owner(s) claim, i.e., in case of shortage of money, it is an obligation of the company to first pay the outsiders and only then pay the owners. Since, the owners can be paid only from the residue left after settling the outside claim, the owner(s) claim is also known as a residual claim. We could therefore, define owner(s) equity as follows:

Owners Equity = Assets – Liabilities

Balance Sheet Changes

All business transactions have an impact on the balance sheet. For example, if Golumal were to return the complete amount due to Rajumal, i.e., Rs. 500,000 (of liability) using the cash (in his assets), this would have resulted in a new balance sheet with the assets owned by Golumal being reduced by Rs. 500,000 (due to the decrease in cash balance on the asset side). This would have also reduced the liabilities owed by Golumal to an equal extent as the liabilities would have gone down by Rs. 500,000 (given the amount due to Rajumal would have been removed from the liability side).

Normally, any increase/decrease in the asset side is offset by an equal increase/decrease of liability or owner's equity or vice versa. Alternatively, any increase/decrease in the asset or the liability side may be offset by a corresponding decrease/increase in the same side. Confused? Table 1.3 should make it clearer. It covers all the mentioned possibilities.

Table 1.3 ***Possibilities that Change Balance Sheets***

Possibility	Example
1. An ↑ in assets followed by an ↑ in liabilities and vice versa.	Purchase of a tractor of Rs. 400,000 using a bank loan. The asset side will show the extra entry of the tractor while the amount of bank loan of Rs. 400,000 will be shown on the liability side.
2. A ↓ in assets followed by a ↓ in liabilities and vice versa.	Using savings deposit in bank to return the loan of Rs. 50,000 from a friend. The amount owed to the friend is reduced by an amount of Rs. 50,000 and at the same time the cash kept at bank, which is our asset, is reduced by Rs. 50,000.
3. An ↑ in assets followed by an ↑ in equity and vice versa.	Interest of Rs. 5,000 earned on the savings deposit has the effect of increasing the net worth. Here, the funds kept in the bank (asset) will increase by Rs. 5,000 and at the same time the owners' equity will show a rise by Rs. 5,000 as a result of the profit earned.
4. A ↓ in assets followed by a ↓ in equity and vice versa.	Theft of a printer worth Rs. 3,000. Here the assets side will register a decrease of Rs. 3,000 and at the same time will result in a decrease in the owners' equity by Rs. 3,000 because of the loss suffered.
5. An ↑ in assets followed by a ↓ in another asset and vice versa.	Using your savings balance in the bank to purchase a laptop worth Rs. 28,000. Your savings bank balance (asset) will come down by Rs. 28,000 but another asset, i.e., a laptop worth Rs. 28,000 will be added in your balance sheet.
6. An ↑ in a liability followed by a ↓ in another liability and vice versa.	Taking a new bank loan to return the loan from a friend. Essentially, one loan is replaced by another loan, triggering a simultaneous increase and decrease in the company's individual liability items (but the overall balance of liabilities does not change).

The increase and decrease in the components is symbolized as ↑ and ↓, respectively.

So, we see that whatever happens, the sanctity of the balance sheet remains intact.

Example 2: Chotu Motu Store

Chotu and Motu opened a store on January 1, 2009, with an investment of Rs. 20,000, brought in from their personal savings. They decided to call their venture Chotu-Motu Store.

If we have to prepare the balance sheet of *Chotu-Motu Store* as on January 1, 2009, the question arises with respect to further procedure. Now, in order to prepare a balance sheet for the business based on the equation we have studied, we first need to answer the following questions:

1. What is the value of the assets owned by *Chotu-Motu Store* on that date?
2. What is the amount of liabilities owed by *Chotu-Motu Store* on that date?
3. And what is the amount of owner(s) equity in *Chotu-Motu Store* on that date?

If we have an answer to the first two questions, it implies that assets minus liabilities would be *Chotu-Motu Store's owner(s) equity* and this information would complete the equation, and hence the balance sheet.

The answer to the first question, the assets of *Chotu-Motu Store* on January 1, 2009, is Rs. 20,000 in cash (only). The answer to the second question is that *Chotu-Motu Store* has no liability on that date, or in other words, it does not owe anything to outsiders. Thus, it follows that the only claim on the assets is that of Chotu and Motu, the owners. These answers can be presented in the form of a balance sheet as shown in Table 1.4.

Table 1.4 ***Chotu-Motu Store Balance Sheet on January 1, 2009***

Assets	Rupees	Liabilities and Owner(s) Equity	Rupees
Cash	20,000	Owner(s) Equity	20,000

Let us follow the business through its other transactions during January.

On January 2, the store purchased a shop for 50,000 Rupees after signing a mortgage for 40,000 Rupees.

This transaction will change the balance sheet as on January 1, in the following way:

1. The cash balance would be reduced by 10,000 Rupees on account of the payment for the shop premises of 10,000 Rupees in cash.
2. A new asset, the shop premises, is acquired, which is worth 50,000 Rupees.
3. A new liability, that is, a mortgage on the shop, is contracted to the tune of 40,000 Rupees.
4. Owner(s) equity = Total assets – liabilities, that is,

   Rupees 20,000 = Rupees 60,000 – Rupees 40,000.

This shows that there is no change in the owner(s) equity since the increase in the value of the assets is accompanied by an increase in the liabilities. Thus, the new balance sheet will be as follows (Table 1.5):

Table 1.5 ***Chotu-Motu Store Balance Sheet on January 2, 2009***

Assets	Rupees	Liabilities and Owner(s) Equity	Rupees
Cash	10,000	Mortgage on shop	40,000
Shop premises	50,000	Owner(s) equity	20,000
Total	**60,000**	**Total**	**60,000**

On January 3, the store purchased merchandise worth 5,000 rupees in cash. The store also purchased merchandise worth 15,000 rupees on credit (*by purchasing on credit, we mean that he has promised to pay his 15,000 rupees at a later date rather than making an immediate payment*) from Vanik.

The impact of the above transactions is that the assets, in the form of merchandise inventory, increased by 20,000 Rupees.

A part of this increase is accounted for by a decrease in another asset, i.e., cash, by Rs. 5,000.

The other part, i.e., increase by 15,000 Rupees in assets, is accounted for by creating a liability of Rs. 15,000 that the firm now owes to Vanik. The amount payable on account of the purchase of merchandise is usually referred to as *'accounts payable'* or *'sundry creditors'*.

Now, let us draw the new balance sheet after incorporating the above changes. The new balance sheet on January 3, 2009 will look something like this (Table 1.6).

Table 1.6 ***Chotu-Motu Store Balance Sheet on January 3, 2009***

Assets	Rupees	Liabilities and Owner(s) Equity	Rupees
Cash	5,000	Mortgage on shop	40,000
Merchandise inventory	20,000	Accounts payable	15,000
Shop premises	50,000	Owner(s) equity	20,000
Total	**75,000**	**Total**	**75,000**

On January 4, the store sold the entire merchandise inventory for 25,000 rupees. Apparently, this transaction shows the transformation of an asset to another asset at a higher monetary valuation. This is the basis of economic transactions in which business profit is earned by engaging in profitable transactions. The balance sheet, after this transaction, will clarify some of the conceptual issues arising out of this transaction (Table 1.7).

Table 1.7 ***Chotu-Motu Store Balance Sheet on January 4, 2009***

Assets	Rupees	Liabilities and Owner(s) Equity	Rupees
Cash	30,000	Mortgage on shop	40,000
		Accounts payable	15,000
Shop premises	50,000	Owner(s) equity	25,000
Total	**80,000**	**Total**	**80,000**

Note the change in the owner(s) equity figure. From the time we started following the transactions of Chotu-Motu Store, the owner(s) equity figure has changed for the first time, how did this come about? The answer is simple: we followed the balance sheet equation: "*Assets – Liabilities = Owner(s) Equity*". The increase in the owner(s) equity is the result of an increase in the assets, arising out of the exchange of merchandise inventory for cash at a higher monetary valuation.

Here, we find that the owner(s) equity increased to the extent of sales revenue earned over the cost of earning that revenue. In this case, the asset received is Rs. 25,000. The value of the sale of merchandise is usually referred to as *sales revenue*. The direct cost of earning this revenue was the cost paid for purchasing the inventory, i.e., Rs. 20,000. Therefore, essentially, the owner(s) equity has increased because of the Rs. 5,000 profit that it earned by selling something for Rs. 25,000, for what it paid Rs. 20,000.

Now that we have a fairly good idea of the dynamics of a balance sheet, let us move on to the next chapter, where we will discuss the importance of balance sheet.

2

CHAPTER

Importance of Balance Sheet

The balance sheet is widely recognized as one of the best indicators of the financial position of a company. It provides information to various stakeholders about the company. For instance, a large number of customers may look at the balance sheet to assess the capability of the company to take up the order (in case of a long-term contract and to even work out the terms of the long-term contract). At the same time, lenders may want to know about the capacity of a company to pay back the borrowed money. The government may be interested in the balance sheet for tax computation purposes. Table 2.1 presents a list of the stake holders and the kind of benefits they derive out of a balance sheet.

Analyzing the balance sheet of a company for one particular period of time may not give you a clear picture of the financial health of the company. Ideally, one would prefer to have data for more than one period of time to get a reasonably clear picture of the company. This is the reason why you generally see balance sheets of two consecutive years being presented simultaneously. It provides us with a picture of financial position of the company over the years. The figures of a particular balance sheet item may be compared over consecutive years to get an idea of the better or worse performance of the company with relation to that component. For example, if you see that the company has increased its debt heavily then a lender may be worried of further extending a loan to the company as he will be doubtful of company's ability to meet its bulging future obligations.

Simultaneously, the lender might also compare the proportion of debt in a particular company's balance sheet with that of its peers from the same sector to see if it is an industry-wide trend or a company-specific trend. A good decision maker would typically look forward to probing into the key reasons behind a particular observation and also consider the potential implications of the same. This is similar to our looking at the annual report (*also known as*, annual progress sheet) of a child's school performance and then comparing this with the child's past performance and performance of his/her school classmates to draw conclusions.

Hence, the balance sheet allows comparison:

- Of the financial status of the company over different years.
- Between multiple companies, especially with respect to financial health.

Table 2.1 ***Balance Sheet Users and their Aspects***

Owners/Shareholders: The primary aim of balance sheet is to provide financial information of the business to its owners.	**Management:** The managers decide the future course of action using the information that they derive out of the balance sheet.	**Investors:** The investors are concerned with the growth of their investments. The estimation of the future growth of a company is done using the balance sheet.
Lenders: Lenders look at the balance sheet to guage the debt-taking ability of an organization.	**USERS**	**Employees:** The employees are interested in knowing the profit figures and growth of the company. Their incentives and promotions are dependent on these figures.
Government: The government calculates taxes, subsidies, etc., based on the figures quoted in the balance sheet.	**Customers:** The customers may get an idea of the sustainability of the company by looking at the balance sheet.	**Suppliers:** The suppliers look forward to developing healthy, long-term relations with financially viable and healthy companies.

3

CHAPTER

The Assets Side

So far we have discussed that balance sheet primarily has two sides—the assets and the liabilities. The task now is to explore each of the two sides in greater detail in order to get a better understanding of the balance sheet. First, let us start by understanding the assets side.

Recall the definition of assets as stated in the previous discussion:

> ★★★
>
> **Assets** *Assets are possessions or things of value owned by a firm or an individual.*
>
> ★★★

These are the economic resources a company possesses. They include items such as cash, buildings, land, vehicles, machines, investments and money yet to be received by a company from its customers. As you must have understood, companies have various assets at their disposal depending on the nature of their business activities. For example, a trading firm will have lesser fixed assets compared to a manufacturing firm.

For better understanding of assets, we classify them into different types. We use two ways of classification:

- Fixed and current assets
- Tangible and intangible assets.

Note that there are various ways of classifying an asset. We have only considered here the two most common ways among them.

Current Assets

The term 'current' essentially implies some kind of flow, and in accounting it indicates the flow of assets through the business. Current assets are the ones that flow in and out of a business on a regular basis. These are the assets that a business intends to either consume or sell in the short run. To be more specific, *the assets that the company intends to dispose off (either by selling or by consumption) within a period of one year are referred to as current assets*.

Assets included in this category comprise of cash and bank balance, inventory (stock), receivables from customers (debtors), short-term investments of the company (often known as marketable securities), and loans and advances given by the company (say, for a service to be rendered). Therefore, corn kept by a popcorn seller, money due from his customers and cash kept in his kitty would be part of a popcorn seller's current assets. We will discuss each of these items in detail later.

Fixed Assets

All other assets of a company apart from current assets are known as fixed assets. *Fixed assets are the assets held by a company for the purpose of producing goods or providing services.* So, a popcorn-making machine and related electric gadgets would be fixed assets for a popcorn seller. These are not put for sale in the normal course of business, i.e., they are not part of a company's regular trading activities. Generally, the assets that a firm acquires with an intention to retain for a period in excess of a year are referred to as fixed assets. These include machinery, land, buildings, long-term investments, vehicles, etc. Here, let us introduce the important concept of depreciation.

Depreciation

Most fixed assets used in business have a limited (useful) life. The *useful life* is the period of time for which an asset can be economically used. This implies that the benefits from the particular asset will be enjoyed by the organization only during its useful life, after which the asset will become incapable of being put to any profitable use. This concept is very useful while valuing the fixed assets of a company.

Fixed assets are usually valued at their original cost, i.e., the cost at which they have been purchased. But, for a firm, the value of the asset does not remain the same throughout the life of the asset. It reduces with time as a result of decrease in its future economic utility. This is due to the wear and tear it undergoes. Quite obviously, the value of a brand new car differs from a five-year old one. This could be the result of constant use, time, changing technology, etc. So, in order to represent true and accurate value of the asset, the amount at which it is recorded in the balance sheet should reflect a proportionate decrease in its value as in the previous balance sheet. Older the asset is, the more will be the reduction in its value given that the asset's future economic utility will be much lower. Such reduction in value is referred to as depreciation. Thus, depreciation may be defined as the *reduction in the value of an asset as a result of the wear and tear due to its use or with passing of time.* While there are many ways to calculate depreciation, we have listed the two most popular ones.

1. Straight-line Method

In this method, a fixed percentage of the *original cost* of an asset is depreciated each year till the asset's value becomes nil. And so, this method is known as *fixed installment method*. We will explain this with the help of an example. Suppose, a trader buys a delivery van at the cost of Rs. 1,000,000 assuming that it will have to be discarded as junk after five years. In this case, value of the van has to be brought down to nil within a period of five years. Under this method, we will suitably depreciate Rs. 1,000,000/5, i.e., Rs. 200,000 (or 20% of depreciable value) each year, throughout the period of five years to get a nil value at the end of the stated time. This is how the van will be accounted in the assets side of the balance sheet of the trader.

At the beginning of first year, i.e., on the day of its purchase, the van will appear in the balance sheet of the trader as shown in Table 3.1.

Table 3.1 ***Balance Sheet at the Start of First Year***

Fixed Assets	Rupees
Delivery Van—at cost	1,000,000
Less: depreciation	0
Net delivery van	**1,000,000**

At the end of first year, the van will appear in the balance sheet as shown in Table 3.2.

Table 3.2 ***Balance Sheet at the End of First Year***

Fixed Assets	Rupees
Delivery Van—at cost	1,000,000
Less: depreciation	200,000
Net delivery van	**800,000**

The depreciation in Table 3.2 reflects the decrease in the future economic utility of the van through the wear and tear it would have undergone. Similarly, at the end of second year, the vehicle will be shown as given in Table 3.3.

Table 3.3 ***Balance Sheet at the End of Second Year***

Fixed Assets	Rupees
Delivery Van—at cost	1,000,000
Less: depreciation	400,000
Net delivery van	**600,000**

Please note that the depreciation amount at the end of second year has increased to Rs. 400,000 reflecting the increase in the passage of time (of the van). The process will continue for the next three years until the net value of the asset becomes zero in the balance sheet.

The amounts of Rs. 200,000 and Rs. 400,000 (mentioned as depreciation earlier) are universally known as *accumulated depreciation* as they represent the amount of depreciation that has been constantly accumulating each year as a result of the deduction against the value of the asset.

2. Diminishing/Reducing Balance Method

In this method, depreciation is calculated as a fixed percentage each year on the remaining value of the asset, i.e., the balance figure of the asset brought forward from the previous year. And so, this method is also known as the *written-down value method* of depreciation. The percentage of depreciation is fixed. However, the amount of depreciation keeps diminishing every year as a result of reduction in the value of the asset brought down. To illustrate, let us calculate the depreciation charged on the van according to the new method. Suppose the depreciation is charged at the same rate of 20% per annum. Now, the depreciation charged in the first year would be 20% of Rs. 1,000,000, i.e., Rs. 200,000. At the end of the first year, the asset would be shown as given in Table 3.4.

Table 3.4 ***Balance Sheet at the End of First Year***

Fixed Assets	Rupees
Delivery Van—at cost	1,000,000
Less: depreciation	200,000
Net delivery van	**800,000**

Now, in the second year, the depreciation would be charged at the rate of 20% of the remaining value, i.e., on Rs. 800,000 (and not on Rs. 1,000,000, which was the case in the previous method), i.e., Rs. 160,000. Using this method, we observe a decrease in the amount of depreciation on the van with the passage of time. In this case, we are assuming that the asset's wear and tear would be more during its initial years (possibly due to its higher use) and progressively lesser during the later years (possibly, due to its lower use). The asset would appear as shown in Table 3.5.

Table 3.5 ***Balance Sheet at the End of Second Year***

Fixed Assets	Rupees
Delivery Van—at cost	1,000,000
Less: depreciation	360,000
Net delivery van	**640,000**

In the subsequent year, the depreciation charged would be 20% of 640,000 and so on. One interesting observation here is that while in the straight-line method of depreciation, the asset value will eventually be reduced to zero, such a scenario is not at all possible in the written-down value method. This is because the depreciation is charged as a percentage of previous year's figure, and hence it will always be lower than the value of the asset. So, will not the asset ever cease to exist? To take care of such a problem, the remaining value of an asset is generally depreciated at a single go in its last year to bring it down to zero and consequently remove it from the balance sheet. For example, suppose in the previous example, the value of the van comes down to Rs. 280,000 at the end of fourth year. Then instead of depreciating it at the rate of 20% in the last year, i.e., Rs. 56,000, the entire Rs. 280,000 will be depreciated in a single go.

Bholuram: You say that the assets that are held for a period of less than a year are current assets and those held for more than that are Fixed Assets. Suppose I bought a piece of land with the intention to keep it for more than a year, and hence classified it as Fixed Asset. But due to some unforeseen circumstances I was forced to sell it within six months itself. So, was my previous classification faulty?

Finnova: What an insightful question, Bhola! Here is your answer. The golden test in these circumstances is: what was the intention while acquiring the asset? If at that time you wanted to keep it for more than a year, then you can go ahead and record it as a Fixed Asset. It would not matter even if you were to sell it later after holding it for a shorter duration. Here let me give you an interesting example. Suppose an automobile dealership has acquired two cars—one with the purpose of selling (which obviously it hopes to sell within a year) and the other to be used by its Managing Director. The dealership, in this case, will record the first car as a Current Asset, while the second one would be classified as a Fixed Asset.

This asset classification into current and fixed assets is the most important and accepted classification. Apart from that, the assets can also be divided into tangible and intangible assets.

Tangible Assets

Tangible assets are those that can be seen, touched, or felt physically. Most of the assets belong to this category. The common examples are land, buildings, vehicles, and machinery.

Intangible Assets

Intangible assets are those that do not have any physical presence. They cannot be seen, touched, or felt. Still, they represent value for a business. They enhance the earning capacity of a business even though they do not have a physical presence. Examples of intangible assets are goodwill, copyright, trademark, patent, or franchise rights. Some of the most common intangible assets have been described here.

Goodwill

It implies, 'a good reputation or a good image'. In terms of business, it represents the extra earning capability that a firm enjoys as a result of its good reputation in the market. For instance, a customer may pay extra money for a product that comes from a more reputed firm. In the same way, banks may extend loans at a cheaper rate or the suppliers may supply to a firm at lower rates because of the excellent reputation of the business to pay back its dues.[1]

Copyright, Trademark, Patent, Franchise Rights

These items refer to the economic benefits that a firm derives from having the exclusive right to use a particular brand, creation, symbol, or a technology.

[1]You may have already assumed that it is difficult to assign a value to such a variable. There do exist various methods to quantify goodwill. The exact methods, however, are beyond the scope of this book.

Copyright refers to the exclusive right to use a particular form of art. This may be a song, poem, painting, novel, etc. The owner is at his/her discretion to allow certain other parties to use the same by charging a stipulated fee. For example, the publishers of Harry Potter would be reaping millions of dollars for having the right to use the little magician.

Trademarks are the rights enjoyed by a company to use a particular symbol or a mark exclusively. We are aware of the benefit derived by a company like Mercedes Benz from using its famous three pointed stars.

Patent means the right to use a particular piece of technology. For example, the 'Xerox' company had earned considerable money as a result of having the exclusive right to use the photocopying technology.

Further, increasing your comprehension of the flow of the assets in a business, let us understand the flow concept.

> ★★★
>
> **Operating Cycle** *It refers to the duration of time taken by a unit of cash to circulate through the business operations and return back as cash.*
>
> ★★★

Typical business transactions move in *operating cycles*. In Fig. 3.1, a typical operating cycle of a business has been described. *Cash* is converted into different forms of assets, flowing ultimately back to cash. The operating cycle for a particular company is the period of time it takes to convert cash back into cash. Cash usually passes through various stages of an operating cycle during this process.

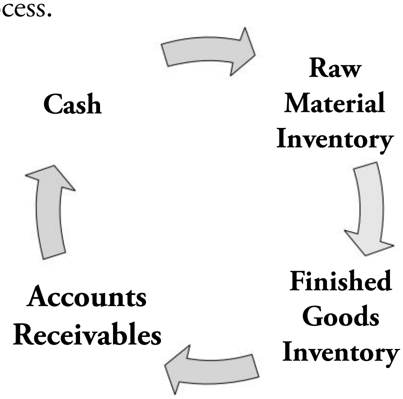

Fig. 3.1 ***Operating Cycle of a Business***

In a manufacturing firm, the operating cycle starts when cash is invested for the purchase of raw material inventory and ends when the finished goods inventory is sold and cash realized. In this case, the cash will pass through the stages of raw material inventory, finished goods inventory, accounts receivables, and then form back into cash. Now, let us discuss the various components of the current assets and in the process, we will be able to understand the different components that make up the operating cycle.

Cash

We all know what cash means. It comprises of currency, cheques, demand drafts, pay orders, or any other instrument that circulates as cash. For a business, cash is classified as a current asset. It includes cash kept in the cash chest and also deposits on call or current accounts with banks.

Marketable Securities

Whenever firms have excess cash, especially for a short period of time, they tend to invest it in short-term, readily marketable securities, i.e., financial securities and instruments which can be bought and sold easily. These may include a host of short-term investments with near zero downside risk such as *bank term deposits* (say, 30-days fixed deposit), *liquid mutual funds*, *foreign currencies* and *government securities*. These assets are usually *readily marketable*, i.e., can be easily liquidated and can be sold whenever the firm is in need of cash.

Accounts Receivables

For most businesses, transactions take place on credit basis, wherein a good or a service is provided to the customer in return of the promise made by him to pay back later. This creates a liability on the part of the customer to pay back the business at a later date. This amount represents an asset for the business, as this is the amount that it owns from the customer, who now becomes its *debtor*. This asset is shown in the balance sheet as accounts receivable. Debtors, sundry debtors, and trade receivables are the other terms used to refer to accounts receivable. Please note that one can expect this figure to be a significantly large item for businesses having large amounts of credit business (say, a pen manufacturer).

Bills Receivables

Credit sales give rise to accounts receivable. It is a usual practice in business to create a formal (legal) document that acts as an evidence of the amount due from a debtor. This happens especially in cases where the size of the deal is big and/or the customer is new to the business (e.g., export orders from a new client). In such a document, the debtor promises to pay his dues after a certain period of time. This document is known as the bills receivable or notes receivable or promissory notes receivable.

Prepaid Expenses

Sometimes, a business may pay some items of expense as an advance. Items such as rent, taxes and insurance are the ones most commonly paid as advance. Also, a few channel partners (say, suppliers and vendors) often ask for advance from the customer to supply the good or service. The rationale behind including pre-payments and advances as current assets is that in case these prepayments had not been made, they would have required a company to pay cash during the period (e.g., factory insurance amount is almost always prepaid for a specified period of time). So, in a sense, these are loans given by the business to the receiving parties till the amount actually becomes due. Till then, this is the amount that the other parties owe to the firm. Hence, till the amount actually becomes due, such prepaid expenses are quite logically recorded as assets of the firm. Some firms call this component *loans and advances*. They also include the short-term loans that a firm might have given to others (such as, festival's advance to its employees).

Inventory/Stock

In very simple terms, merchandise inventory/stock may be described as "the goods held for resale to others". Inventory also includes the stock of raw materials held by a firm to produce finished goods for sale. So, inventory primarily includes the following three types of assets held with a company:

- Goods held for sale in the course of business; often known in a manufacturing firm as finished goods inventory.
- Goods in the process of production. Often this is known as *work in progress* inventory. This typically refers to goods on which work has started but which are not in their finished state (incomplete) and are at various stages of production.
- Raw materials. These are the initial materials that are processed/used for producing finished goods and on which, the firm has not begun any production work.

Take the case of a cotton textile mill—the finished product lying in its warehouses would be part of the finished goods inventory. The raw cotton waiting to be converted in to yarn and further would be part of raw material inventory. The cotton yarn and semi-dyed textiles would be part of the work in progress inventory. Hence, in case of a manufacturing firm, the inventory would comprise of all the three afore mentioned types of stock, whereas for a trading concern (i.e., a business whose sole activity consists of buying merchandise at cheaper prices and selling them at profitable prices) inventory would comprise of just a single category. The only stock that it will maintain would be the stock of finished goods waiting to be sold.

Valuation of Inventory

Now, for something like inventory, there would always be two prices associated with it. First, is the cost price, being the historical cost at which the stock was bought. Second, is the current market price. This is the prevailing market price of the stock. Given the fact that the accounting is based on the principle of conservatism, inventory is always valued at lesser of these two values:

- Cost price or the historical cost of the inventory
- The current market price of the inventory.

To provide you with an example of this practice, let us suppose you bought 20 kilograms of sugar at the price of Rs. 10 per kilogram in June (last year). And right now, the price of sugar is Rs. 15 per kilogram. In this case, sugar would be valued at and shown in your balance sheet at Rs. 200 (being Rs. 10 per kilo multiplied by 20 kilograms of sugar). On the other hand, if suppose, the market price of the sugar falls down to Rs. 8 per kilogram, then the sugar would be valued and shown in your balance sheet at Rs. 160 (being Rs. 8 per kilo multiplied by 20 kilograms of sugar).

Bholuram: Hey Finnova! Would you care to explain as to why such a method is followed while valuing inventory?

Finnova: Why not Bhola! See, such a method of inventory valuation is done keeping in mind the *principle of conservatism*. According to this principle business should always be conservative while estimating their profits. So, the business provides for the loss that it anticipates as a result of lowering the market value of its stock holding but does not account for the anticipated extra profits as a result of increase in the market price of its assets. The same convention is followed while measuring various other assets.

Other Assets

Investments

Investments are primarily made and held for the purpose of earning income through dividend, interest, rent, and capital appreciation, as a result of an increase in the market price (or maturity value) of the investments, or for other types of benefits[2]. Investments can be classified

[2]Investments are also made with the primary intention to gain some strategic benefits from them, say, some management control over a channel partner, say a supplier.

on the basis of the intention of the investor at the time of making the investment. Broadly, these can be classified into two types, viz., short-term investments and long-term investments (Fig. 3.2).

Short-term investments/current investments are quickly realizable (saleable) and the intention is not to hold them for a period exceeding one year from the date of making the investment. All short-term investments are usually included in the current assets. These are valued on the same lines as is inventory stock, i.e., at the lesser of the two values: historical cost price or the market value of the investments.

Long-term Investments are made with an intention to hold them for more than a year. These generally form part of fixed assets. Like fixed assets, the intention is not to make a quick buck (profit) from these long-term investments; hence, these are typically valued at their historical cost price.

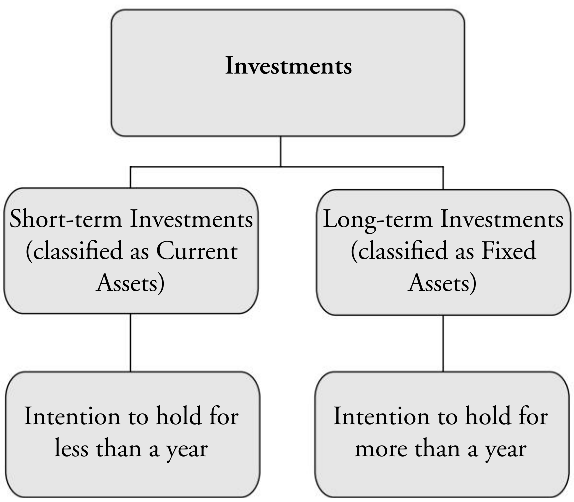

Fig. 3.2 ***Classification of Investments***

Deferred Tax Assets and Deferred Tax Liabilities

Like individuals, all business entities have to pay taxes when they earn income. The exact amount of tax to be paid and the time of payment would be typically decided on the basis of local government regulations. Some governments (and states/provinces) accept lower taxes and even give future tax benefits for business entities setting up industries and creating employment in backward areas. Due to such reasons, primarily arising out of local income tax laws and other regulatory issues including delays in tax assessment, business entities do not pay tax exactly during the period when the profits and income are earned. There are cases where they pre-pay their tax and adjust it in later years and the other way round. This phenomenon gives rise to deferred tax assets and deferred tax liabilities in the balance sheet. Let us understand both with the help of simple examples.

Deferred tax asset. Suppose, a business works out the tax for a particular period to be Rs. 400,000. Now, because of some governmental regulation —for instance the firm is asked to pay Rs. 500,000 as taxes instead of Rs. 400,000 payable by the firm—the firm will pay Rs. 100,000 less in the subsequent year by virtue of having already paid Rs. 100,000 extra this year. So, this represents a type of prepaid expense for the business and hence is classified as an asset, commonly known as deferred tax asset.

Deferred tax liability. By now you would have already guessed what we mean by deferred tax liability. Continuing with the previous example, let us suppose the government asks the firm to pay just Rs. 300,000 this year as taxes instead of Rs. 400,000 on this year's income. In such a case, the business will have to shell out Rs. 100,000 extra the next year as tax expenses. So, in a sense this figure of 100,000 Rupees represents a liability in the balance sheet of the company, known as deferred tax liability.

Deferred Expenditure

The benefits of a business restructuring exercise are not easily estimable in the future. Yet, one will tend to agree that they are undertaken focussing on long-term sustainability of the business (rather than short-term quick benefits). Such expenses are good examples of deferred expenditure or deferred revenue expenditure. In other words, they are a special case of intangible assets. The purpose of incurring these expenses is not earning revenue in any identifiable accounting period but the benefits of these expenses are surely expected to spread across several years in future. As a result, these expenses are deferred over a period of time. Other examples of deferred expenditure includes setup (incorporation) expenses, preliminary (start-up) expenses, advertising and promotion costs for a new product launch, capital raising expenses, and software package implementation expenses (such as, implementation of an enterprise resource planning (ERP) package).

Just to clarify further, take the example of advertising. Typically, huge costs will be borne by an enterprise in the year when advertising and promotion for a new product launch are carried on. Now, the benefits of the new product launch and promotion will span over a number of years. So, it is justifiable to spread the expenses over the period of time during which the benefits are supposed to accrue to the company. Hence, these are shown as assets in the balance sheet as they will provide future benefits. Like in case of any asset, these are depreciated over their anticipated tenure. In the case of deferred expenditure, such depreciation is referred to as *amortization or writing off of the deferred asset.* Again, as in the case of fixed assets, these are shown in the balance sheet at their remaining value or net value, i.e., balance figure. Some companies show them in their balance sheet as *miscellaneous expenses to the extent not written off.*

Now that we have a good idea about the assets' side; let us have a look at the format used for the assets' side of the balance sheet.

Format for the Assets' Side of the Balance Sheet

Assets
Current Assets Cash Marketable securities Notes/bills receivables Net accounts receivables Prepaid expenses Inventory
Total Current Assets
Fixed Assets Land Buildings, plant and machinery, gross Less: accumulated depreciation
Net Fixed Assets
Other Non-current Assets Investments Goodwill Deferred expenditure
Total Intangible Assets
Total Assets

By convention, we list most liquid assets first, followed by the less liquid assets. So, within each asset group, we move in a descending order of liquidity. In many books, you will see the least liquid assets being listed first and all assets listed in ascending order of liquidity. That is just another way of representation and both formats are equally right. We are just following the one which is more popular (globally).

4 CHAPTER

The Liability Side

After having discussed the assets side of the balance sheet, let us now step on to the other side. The task now is to understand the liabilities of a company. By liabilities, we mean only the external liabilities of the firm, i.e., *things which a firm owes to outsiders and hence will not include the owner(s) equity*. The difference between the two components has already been discussed in Chapter 1.

★★★
Liabilities *Liabilities are the claims of outsiders on the company.* ★★★

As mentioned before, a business obtains its funds from both external and internal (owners') sources. *The external funds taken by a business entity through banks, financial institutions and other lenders are known as liabilities. These are called liabilities as the company is liable to pay back the money that it owes to these parties*. Apart from these, liabilities are also borne by a company by virtue of its day to day operations. For example, buying goods on credit creates a liability on the company towards the supplier of the goods. There are many such liabilities that a company deals with, all of which will be discussed further.

Just as assets were classified into short-term assets (current assets) and long-term assets (non-current assets such as fixed assets and investments), liabilities are also classified as short-term liabilities (current liabilities) and long-term liabilities. Let us now discuss both current and long-term liabilities in greater detail.

Current Liabilities

We have studied that liabilities are claims of outsiders against a business. In other words, *they are the amounts owed by a business to people who have lent money or provided goods or services on credit. Liabilities that become due within a year, i.e., they need to be paid back within one year of creation of a liability are classified as current liabilities.* Most of such liabilities are incurred due to the purchase of inventories or while performing the operational cycle activities of the firm. Further, we will see that many of the components mentioned under current liabilities would be the components of current assets as looked from the opposite side.

Let us take up each one of the current liabilities and discuss it in some detail.

Accounts Payable

Most of the business in the corporate world happens on credit. Accounts payable arise during the course of business as a result of purchase of goods or services on credit. Therefore, for a manufacturer, the term *'accounts payable' refers to liabilities incurred by it on the purchase of raw material and components from its suppliers and vendors*. The supplier in this case becomes the creditor of the company. Since these credits are received usually from several parties, they are sometimes collectively referred to in the balance sheet as *creditors, sundry creditors, trade payables or trade creditors.*

Bills Payable

Credit purchases give rise to accounts payable. Just as in case of bills receivable, the creditors of the company many a times create a formal (legal) document that acts as an evidence of the amount which a business owes to them. In such a document, a company promises to pay the creditors its dues after a certain period of time. This document is routinely referred as the *bill payable or note payable*. Bills receivable and bills payable are collectively referred to as *bills of exchange*. Suppliers often require a new customer to pay using a bill of exchange, while this needs to be the case with an existing customer with a long-term relationship. Hence, while a new customer will reflect the amount due to this supplier as a bill payable, an old customer would normally reflect the amount due to this supplier as part of accounts payable.

Accrued Liabilities

They represent expenses or obligations incurred in an accounting period, payment for which will be made in the next period. These may be items such as salaries and rents which are due, but not yet paid. For example, suppose a firm is liable to pay Rs. 5,000 to an employee as salary for his/her services for the month of January. Now, if a balance sheet is prepared in February and the amount is still due, then this amount of Rs. 5,000 will appear on the liability side of the balance sheet as accrued liabilities. In other words, these items are somewhat converse to the prepaid expenses item (which is part of the current assets).

Provisions

When a business anticipates liability in future but is unable to determine its exact amount, it estimates the amount of the liability and shows it in the balance sheet. Quite obviously, in the absence of precise measurement, this is the second best thing that a company can do. *This estimation of the liability, provided in the balance sheet is known as a provision*. Let us take the example of the provision for income tax. *'Income tax payable'* is one of the most common instances of a provision. Unless the authorities determine the exact tax liability, the amount payable cannot be accurately determined. The liability in the case of income tax is certain, but the exact amount is to be determined by the authorities after a tax assessment. Therefore, in such a case, the income tax payable is estimated and shown on the liability side of the balance sheet as '*provision for taxes*'.

In large firms, provisions are of different types, each being an estimation of a different kind of liability. A company which sells its product along with a warranty for, say two years needs to estimate the approximate amount of outgo (cost to be incurred) in future due to the warranty and make a provision for the same in its balance sheet. Therefore, we have provisions for income tax, bad debts, dividends, warranties and other contingencies.

Bholuram: Well, I did not understand one thing. Why do we not create a similar provision in the case of assets as we do in the case of liabilities?

Finnova: Bhola! We create a provision in case of liability because of the *principle of conservatism*. As mentioned earlier, according to this principle, we account for all the anticipated losses but not for anticipated gains. This is the reason we account only for liabilities and have provisions only for the liability side and not for the asset side.

Bank Overdraft

Most businesses depend on banks for short-term borrowings. Business operations can always face situations wherein the requirements for cash payment exceed cash receipts. Temporary cash requirements are met by short-term borrowings from banks. A type of short-term borrowing is the overdraft account. An overdraft account is very similar to the current accounts that we have with the banks. The only difference between the two is that the overdraft account allows the account holder to overdraw his account, i.e., take out extra money from his account than he has deposited with the bank. This is a type of short-term loan that the bank provides to the customer by letting him overdraw his account. Thus, in such an account the holder is allowed to have a negative balance. Typically, a maximum limit is fixed and the customer is not allowed to draw more than that.

Contingent Liability

First let us understand the meaning of the word 'contingent'. *Contingent* refers to an event that is *likely to occur but is not certain to occur*. Its occurrence depends on the happening of other events. *Therefore contingent liabilities are those liabilities that are likely to become a liability only on the happening of certain events*. For example, suppose Golumal has registered a case against a company. The company may have to pay a huge amount as a fine *if* it loses the case. In such a scenario, this fine represents a contingent liability for the company. This liability will only arise *if* the company loses the case.

Contingent liabilities should be distinguished from provisions. *Provisions (estimated liabilities) are known liabilities, where the amount is uncertain but a company does owe money to some outside party (say, tax authorities, etc.).* On the other hand, contingent liabilities are not necessarily liabilities for the time being, as neither the amount nor the liability is certain. They become liabilities only on the incidence of a certain event. Contingent liabilities are not shown in the balance sheet of the firm *at all*. However, they are mentioned separately in the notes that are provided by the company along with its balance sheet. They are mentioned as notes so that all those who are concerned may know that there is a possibility of occurrence of such a liability. Therefore, it is advised to not only read a company's balance sheet but also go through its notes to take note of such items.

Now that we have had a good discussion on the various types of current liabilities, let us now discuss the long-term liabilities.

Long-Term Liabilities

If the repayment terms of money taken from outsiders is due to be repaid but after a time period spanning more than a year, then such liabilities are referred to as long-term liabilities. In this case, the firm is expected to pay after a year of them becoming liable. They cover almost all the liabilities not included in the current *liabilities* and provisions. Mentioned below are the common types of long-term liabilities.

Secured and Unsecured Loans

Loans taken by business entities can be either secured or unsecured. *A loan is secured when it is backed by an asset as a security, known as collateral*. This means that secured loans are taken on a hypothecation of some assets of the borrower. If a borrower is unable to pay back the loan, then the loan amount can be recovered by selling the particular assets that have been hypothecated against the loan. Suppose a financial institution (say, a bank) extends a loan to a manufacturing company. The loan is secured by a hypothecation of the machinery of the manufacturing company. If the company, due to some circumstances, is unable to pay back the loan amount, then the bank would be within its rights to force the manufacturing company to sell its fixed asset (machinery). The money raised through the sale of the above machinery will be used to pay back the loan of the manufacturing company. This is why such loans are referred to as *secured loans*.

On the other hand, *a loan is unsecured when, in case of a default in the repayment of the loan, the lender cannot fall upon any security or take possession of any asset*. Often, loans taken by companies from friendly contacts (say, promoter's friends) are unsecured loans. Fixed deposits raised by companies from depositors for a fixed term (say, 3 years) are also an example of an unsecured loan (since they are not backed by any collateral). The balance in your credit card is another example of unsecured loan.

Debentures and Bonds

Debentures and bonds are special instruments of borrowing used by big companies. In this type of borrowing, the whole loan requirement of the company is broken down into smaller, standard units. These units are then issued to a variety of lenders (usually, retail investors). After a fixed period of time, the company redeems the debentures, i.e., pays back the units by repaying the initial amount along with some interest due.

National Thermal Power Corporation (NTPC), an energy company, needed Rs. 100 million of debt. The company issued one million bonds of Rs. 100 *par value* to investors promising a coupon rate of 10% with a maturity period of five years. In other words, if you were to own one bond, you would invest Rs. 100 at the time of issue of the bond. For this investment, you would have received Rs. 10 as interest every year. And finally at the end of a period of five years you would have also received the initial amount of Rs. 100 back. In other word, in this case, you are the lender and NTPC is borrowing money from you.

There are mind boggling varieties of debentures and bonds existing in the market today. The details of debentures and bonds are beyond the scope of this book.

5
CHAPTER

The Owners' Equity

As discussed earlier, at the time of starting a business, the owners or the promoters bring some funds into the business—*known as owner(s) equity*—to kick start its operations. Later to increase the scale and scope of the business, the company may take loans from external sources like banks, individuals, or other *financial institutions*. Often, these initial funds help in earning some profits for the company. These three components, namely *owners' equity, external liabilities, and profit earned by the firm, are the main constituents of the liabilities side of the balance sheet.*

Now, a firm has two choices with regards to the profits earned by it:

- Either the funds can be redistributed among the owners, i.e., the shareholders as dividends. *Dividends are that portion of companies' earnings which are distributed to the shareholders.* It is doled out to shareholders as a return on the investments they make by being partners (part-equity owners) of the company (by buying the shares of a company).
- Or the funds can be retained in the business. The management may decide to re-invest part of the earnings into the business instead of distributing then among the owners of the firms. This part of the earnings is called the *retained earnings.* This part helps in sustaining the company.

Hence, the total long-term funds invested by a business in order to earn more profits are known as the *capital employed* of the company. In other words, the funds contributed by the owners along with external long-term liabilities and retained earnings constitute the *capital employed* of a firm. Quite obviously, the funds contributed by the owners are known as the *owners' capital.*

We are now in a position to define the owner(s) equity. *The owner(s) capital along with the retained earnings of the firm is known as the owner(s) equity.* So, the following jargons essentially convey the same meaning—*Owner(s) Equity, Shareholder(s) Equity, Owner(s) Fund, Shareholder(s) Fund, and the Net Worth*. There is another way to arrive at the owners' equity. Remember, in the first chapter, we discussed the accounting equation, whereby assets of the firm could be calculated by adding the total external liabilities and the net worth of the firm. The Equation is as follows:

Assets = Liabilities + Net worth

The equation can also be written as:

Net worth = Assets – Liabilities

The owners' equity can also be arrived at by using the above equation. So, we summarize the above discussion:

★★★

Owner(s) Equity *It can be arrived at by either adding Owner(s) capital and retained earnings of the firm or by subtracting Liabilities from the Assets of the firm. Hence,*

Owner(s) Equity = Owner(s) Capital + Retained Earnings

Or

Total Assets – Total Liabilities

★★★

Note: Revisiting this chapter is advisable in order for the readers to understand and remember the new terms introduced.

Bholuram: Hey Finnova! Why are you using the terms shareholders and owners alternatively. Do they mean the same thing?

Finnova: Well Bhola, the capital of major companies are divided into smaller units called *shares*. The promoters, quite often, retain some percentage of shares and sell the rest of the shares (units of capital) to outsiders. As is logical, the ownership structure is decided by the proportion of the capital contributed by different parties or in other words, by the number of shares of a company held by a party. For example, suppose that a company has a capital of Rs. 100,000. The capital now is divided into 10,000 shares of Rs. 10 each. The figure of Rs. 10 is known as the par/face value of the share. Let us say that the promoters retain 5,000 shares or Rs. 50,000 worth of shares and sell the rest to public at Rs. 10 each. Then, Bhola, if you invest Rs 10,000 (and purchase 1000 shares of Rs 10) then you'll become a 10% shareholder/owner of the company. The promoters of the company are 50% shareholders/owners of the company. This is why the terms owners and shareholders are used interchangeably. Capital of the company is also known as the '*share capital*' of the company.

Let us now look at the components of Owner(s) Equity in greater detail in the following sections.

Share Capital

It is the actual money brought in by the owner(s) or the shareholder(s) of the company. It is obtained by *multiplying the number of the shares by the face value of each share*. Face value of a share is also known as the *par value of a share*.[1] Face value is the value of the share decided and fixed by the issuer of the shares while issuing the shares. It does not fluctuate on a regular basis. Market price of the share, on the other hand, is the price at which the share is traded and quoted in the stock exchanges. These are the prices that you generally see, mentioned in the newspapers and television. These keep changing according to the dynamics of the market.

There are various sub-types of share capital as discussed further.

[1]Par value (or face value) of a share is different from the market value of a share. In simple terms, market value of a share is the price at which you can purchase one share of a firm from the stock exchange (i.e., capital markets from someone who already owns it and is willing to sell.)

Authorized Share Capital

Authorized share capital is the maximum amount of share capital that a company is allowed/authorized to issue to shareholders. A company may, however, issue less than the authorized capital. For example, a company, say Swades Ltd., may have an authorized share capital of Rs. 500,000 divided into 50,000 shares of Rs. 10 each. In this case, the company is not allowed to issue more than Rs. 500,000 as share capital.

Subscribed Share Capital

This is the part of the issued share capital that is issued and subscribed by the company. In the earlier case of Swades Limited, suppose, out of Rs. 500,000 of authorized capital, only Rs. 300,000 have been issued by the company and purchased by the shareholders. Then, Rs. 300,000 would be the subscribed share capital of Swades Ltd.

Paid-up Share Capital

It may happen that some shareholders do not pay up the share capital issued by the company and subscribed by the investors, i.e., some may default on their payments. In such a case, the amount actually paid up by the shareholders is known as the *paid-up share capital of the company*. Example, if out of Rs. 300,000 subscribed capital of Swades Ltd., if shareholders pay only Rs. 190,000, then Rs. 190,000 would be the paid-up share capital of the company.

Reserves and Surplus

The basic purpose of any business is to earn profit. A company can earn profits from two basic sources:

- *Profits earned from operations.* These are the profits earned by the company from day-to-day activities of the business. These profits pertain to the core business of the organization. Just to explain, profits earned by the company by re-selling goods or through manufacture and subsequent sale of a product that it regularly deals in or manufactures will form a part of the profits earned from *operations*.

- *Non-operating profits.* On the other hand, profits earned from non-core activities of the business are known as non-operating profits. For example, profits earned by selling a piece of land by a company that manufactures car can be termed as non-operating profit. Profit earned by a computer manufacturer by selling investments (at a profit) is another example.

Again, we recall that a company deals with its profits in two ways — either distributing them to the shareholders or retaining them in business. The retained profits of the company are kept as reserves and surplus. The reserves can be further classified into revenue and capital reserves.

Revenue Reserves

These are the reserves created out of profits earned from operations. They are also called *free reserves* as the company is free to dissolve the reserves, whenever it likes, in order to distribute them among shareholders as dividends. There are a variety of reserves that can be created.

Capital Reserves

These are reserves created from *non-operating profits*. They are not free reserves. As per the law, a company is prohibited from distributing the capital reserves as dividends. The most common capital reserve is the *Shares Premium Reserve*. Share premium is created because of issues of shares by a company at a price above its face value.

Consider a company that issues shares at a premium to the face value. For example, if the face value of a share is Rs. 10, the company might be offering the shares at Rs. 30 per share, Rs. 20 being the premium earned on each share. Clearly, this Rs. 20 has been earned from non-operating sources, and hence the reserve created from the premiums earned will be a capital reserve. The reserve created from the premiums is known as the

Shares Premium Reserve (or Securities Premium Reserve) and it cannot be utilized to pay dividends.

Figure 5.1 summarizes the creation of reserves and distribution as dividend.

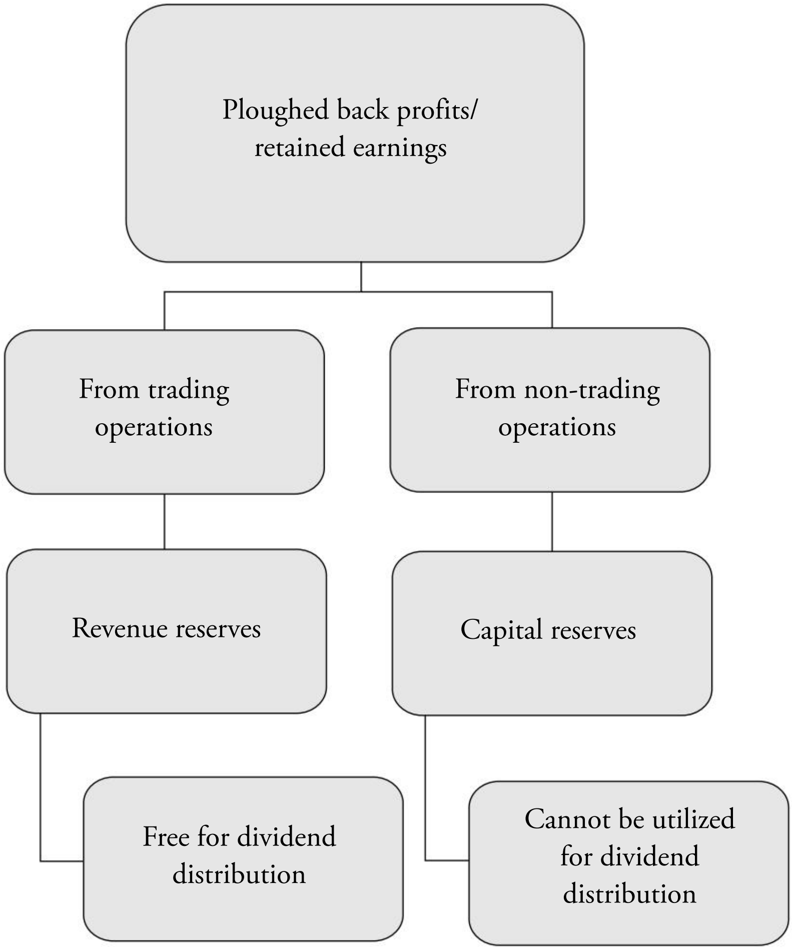

Figure. 5.1 ***Basic Differentiations between Revenue and Capital Reserves***

Having discussed all the components of the liability side of the balance sheet, we are now in a position to look at the format of the liability side of the balance sheet.

Format of the Liabilities' Side of the Balance Sheet

Liabilities and Shareholder(s) Equity
Current Liabilities Notes payable Accounts payable Accrued liabilities Pre-received (Advance from customers) Bank overdraft Provisions
Total Current Liabilities
Long-Term Liabilities Debentures Long-term loans
Total Long-Term Liabilities
Shareholder(s) Equity Ordinary share capital Reserves & surplus
Total Shareholder(s) Equity
Total Liabilities and Shareholder(s) Equity

As in the case of assets, we list the most liquid liabilities first, followed by the lesser liquid liabilities. So, we move in a descending order of liquidity within each liability group. The Owner(s) Equity is shown as appearing after external liabilities. In many of the books, you will see the least liquid liability being listed first and all liabilities listed in ascending order of liquidity. That is again just another way of representation. Both formats are equally right.

The McGraw-Hill Companies

6
CHAPTER

Formats of the Balance Sheet

Now that we have discussed the various components of the balance sheet in quite some detail, we can have a look at the different formats in which a balance sheet is presented.

Standard Form *or* T-Form

Traditionally, balance sheet is presented in a two-column format, usually referred to as the *T-form or Standard Format*. It is called a T-Format because of the appearance of the two-column balance sheet. In this form, *assets are listed on the left side and the liabilities (including both the external liabilities and the owner(s) equity) are listed on the right side*. This is the most common and traditional way of maintaining accounts. A format of the same is provided in Table 6.1.

Table 6.1 ***Standard Format of Balance Sheet***

Assets	Liabilities
Current assets	Current liabilities
Fixed assets	Long-term liabilities
Other assets	Total shareholder's funds
Total Assets	**Total Liabilities and Equity**

Table 6.2 presents a sample of a real-life balance sheet in the standard format for Hindustan Unilever Limited, India's largest fast moving consumer goods company.

Table 6.2 ***Balance Sheet of Hindustan Unilever Limited for the Financial Year 2007***

Balance Sheet as at 31st December, 2007 (all figures in Rs. Crores)

Assets		Liabilities	
Current Assets	**Amount**	**Current Liabilities**	**Amount**
Cash & bank balances Loans & advances Sundry debtors Inventories	262 670 485 2,022	Liabilities Provisions	3,898 1,296
Total Current Assets	**3,439**	**Total Current Liabilities**	**5,194**
Fixed Assets		**Long Term Liabilities**	
Net fixed assets Capital work in progress	1,559 189	Secured loans Unsecured loans Others	39 63 1
Total Fixed Assets	**1,748**	**Total Long-term Liabilities**	**103**
Other Assets		**Shareholders' Funds**	
Investments Deferred tax assets	1,429 214	Capital Reserves & surplus	218 1,315
Total Other Assets	**1,643**	**Total Shareholders' Funds**	**1,533**
Total Assets	**6,830**	**Total Liabilities**	**6,830**

Readers would be aware of most of the terms used in the above balance sheet except *capital work in progress*. As the word indicates, capital work in progress refers to fixed assets which are not completed. For example, a factory or a building which is under construction would be part of capital work in progress.

Readers will recall that as per the accounting equation, the totals of the two columns will *always match*. If there is some discrepancy between the totals, then it may be comfortably ascertained that there has been some mistakes with respect to the preparation of the balance sheet.

Bholuram: You say that Assets should be on the left side and liabilities on the right side. Quite often I have come across balance sheets in which the Liabilities are on the left side and the assets are on the right side.

Finnova: Both the formats are right, Bhola. It depends on the discretion of the accountant as to how does he prepare the balance sheet. Generally, the format with Assets on the left side and Liabilities on the right side is more accepted internationally, whereas the other way is followed in India. This is the reason why, you should take care to refer to a side of the Balance Sheet as the Assets side and the Liabilities side, and not the right and the left side, in order to reduce confusion.

Statement Form *or* Report Form

This is a very simple way of representing the balance sheet. In this form, the liabilities and the owner(s) equity are listed first, followed by the assets of the company. Again, some accountants may also list first the assets of the company followed by the liabilities and the owners' equity. Needless to say, both formats are equally right. A format of the same is presented in Table 6.3.

Table 6.3 ***Report Format of Balance Sheet***

Assets
Current assets Fixed assets Other assets
Total Assets
Liabilities
Current liabilities Long-term liabilities Total shareholders' funds
Total Liabilities and Equity

We also provide a sample presentation of a real-life balance sheet in the report format (Table 6.4) for Hindustan Unilever Limited.

Table 6.4 ***Balance Sheet of Hindustan Unilever Limited for the Financial Year 2007***

Balance Sheet as at 31st December, 2007 (all figures in Rs. Crores)

Assets	
Current Assets	**Amount**
Cash & bank balances	262
Loans & advances	670
Sundry debtors	485
Inventories	2,022
Total Current Assets	**3,439**
Fixed Assets	
Net fixed assets	1,559
Capital work in progress	189
Total Fixed Assets	**1,748**
Other Assets	
Investments	1,429
Deferred tax assets	214
Total Other Assets	**1,643**
Total Assets	**6,830**
Liabilities	
Current Liabilities	**Amount**
Liabilities	3,898
Provisions	1,296
Total Current Liabilities	**5,194**
Long-term Liabilities	
Secured loans	39
Unsecured loans	63
Others	1
Total Long-term Liabilities	**103**
Shareholders' Funds	
Capital	218
Reserves & surplus	1,315
Total Shareholders' Funds	**1,533**
Total Liabilities	**6,830**

Vertical Form

As we discussed in the earlier chapters, a firm generates funds through either its owners/shareholders or through external sources, both of which become liabilities for the firm. So, these liabilities become the *sources of funds* for the company. Now, the funds so generated are used or applied for the purpose of acquisition of assets for the company. So, the assets become the *application of funds* for the company. Quite obviously, the sources and the application of funds for the company will always match and be equal. A vertical format of balance sheet attempts to capture this aspect. The local laws of few countries including India prescribe this slightly different format of the report form (given above). It is popularly known as Vertical Format.

Please observe the balance sheet equations below:

Under Standard Format and Statement Format, the balance sheet equation is presented in this fashion:

Current Assets + Fixed and Other Assets = Current Liabilities + Long-term Liabilities + Net Worth

Under Vertical Format, the balance sheet equation is rewritten and presented in this fashion:

Net Worth + Long-term Liabilities = Fixed and Other Assets + (Current Assets – Current Liabilities)

In other words, in this form a distinction is made between the sources of funds for a business and the application of those funds. The sources of funds are mentioned first followed by the application of funds. The total of the sources and the application of funds is always equal. A format of the same is presented in Table 6.5.

Table 6.5 ***Vertical Format of Balance Sheet***

Sources of Funds
Total shareholders' funds Long-term liabilities
Total Sources of Funds
Application of Funds
Fixed assets Other assets *Current assets* *Less current liabilities* *Net current assets*
Total Application of Funds

We also provide a sample presentation of a real-life balance sheet (Table 6.6) in the vertical format for *Hindustan Unilever Limited*.

Table 6.6 ***Balance Sheet of Hindustan Unilever Limited for the Financial Year 2007***

Balance Sheet as at 31st December, 2007 (all figures in Rs. Crores)

Sources of Funds		Amount
Shareholders' Funds		
Capital Reserves & surplus		218 1,315
Total Shareholders' Funds		**1,533**
Long-term Liabilities		
Secured loans Unsecured loans Others		39 63 1
Total Long-term Liabilities		**103**
Total Sources of Funds		**1,636**
Application of Funds		**Amount**
Fixed Assets		
Net fixed assets Capital work in progress		1,559 189
Total Fixed Assets		**1,748**

(*Contd.*)

Other Assets		
Investments Deferred tax assets		1,429 214
Total Other Assets		**1,643**
Current Assets		
Cash & bank balances Loans & advances Sundry debtors Inventories	262 670 485 2,022	
Total Current Assets	**3,439**	
Current Liabilities		
Liabilities Provisions	3,898 1,296	
Total Current Liabilities	**5,194**	
Net Current Assets		**–1,755**
Total Sources of Funds		**1,636**

Working Capital

Another concept worth noting is *working capital. The working capital (also known as Net Working Capital or Net Current Assets) is given by Current Assets less the Current Liabilities of the firm.* The working capital of the firm is the capital employed by a firm in conducting its day to day operating activities. The firm tries to keep its working capital at an optimum level. Too high a working capital normally results in unnecessary blockage of funds in current asset items (say, receivables and inventories), which could have resulted in extra returns if invested somewhere else. Low working capital (say, low cash and inventories) may result in shortage of funds in times of need and even loss of business opportunities (say, due to no stocks). In the vertical form of balance sheet, the working capital of a firm is calculated and represented as an application of fund. This will have exactly the same effect as mentioning the current liabilities as a source and current assets as an application of funds.

Now, looking at the vertical format balance sheet of Hindustan Unilever as on 31st December 2007, we find that the same information has been conveyed. We observe that the firm had a negative working capital of Rs 1,755 crores. In other words, Hindustan Unilever has high short-term liabilities (creditors) at Rs 3,898 crores who more than make up the application of funds for the company in its current assets. As expected, the totals of both sources and application of funds match at Rs 1,636 crores.

Smart readers would have started grappling with the numbers of Hindustan Unilever Limited and the various formats of presentation. Of course, the presentation matters very little since the balance sheet represents the equality between the assets and the liabilities, capital and retained earnings. However, even when the balance sheet is presented in a statement format, the listing of the items is done according to similar classifications and groupings of the items. It should be noted that these classifications and grouping of items, though not essential in accounting theory, are very important from the point of view of the information users. These classifications enhance the understandability and utility of the financial statements.

7 CHAPTER

What to See in a Balance Sheet

Let us now come to the application process. Suppose you are an astute investor analyzing a company before putting your money into it or a manager trying to get the company back on track. What are the specifics that you should look for in a balance sheet? As you are comfortable now with different components of balance sheet, you must know the important things that should be analyzed in the balance sheet of a company. As we have already discussed, in order to get a clearer picture of the company, one would prefer to have with him data for more than a period. This would enable us to compare the data of the company over the years and give us a sense of where the company is actually heading towards.

The following are a few yet very important parts of a balance sheet that need to be analyzed:

- Components of Capital Employed: The relative proportions of debt funds versus equity funds is an important item to be looked into. If a company is increasing its long-term liabilities considerably with out increasing its shareholders' funds, then it can indicate that the company is taking more risks and that it is increasingly run by external funds which make its operations more prone to *bankruptcy*. Moreover, increase in debt implies higher interest costs for the company, which can lead to unprofitable operations.
- Consistent increase in trade receivables (debtors) amount and relative proportions in the balance sheet is also not a good sign. It can possibly indicate that the company might have a few major customers who are not paying or are dictating terms to the company.

It can even indicate the firm's changing credit policy or customer group. It might signal that the company is making its credit policy more lenient in order to sustain in a competitive market by allowing debtors more time to pay back the money they owe to the firm. It might, however, be harmful for a company as it may block a company's funds with the debtors. Similarly a piling up inventory, i.e., consistent increase in the amount of inventory when compared to last year is a cause of concern and needs to be probed further.

- If fixed assets are decreasing considerably for any business, it indicates that the company is suffering from cash crunch and selling its fixed assets to meet its day to day requirements of funds.
- If accounts payable of any company increases considerably over a period of time, it indicates that the company is able to negotiate better with the suppliers with regard to repayment of its dues. In a company with other bad signs, this can also indicate an inability to fulfil its short-term commitments, hence inviting a more serious problem.

It needs to be mentioned that these are only few observations that you can make while looking at the balance sheet. These are listed so that the readers get an idea of how to actually analyze a balance sheet keeping in mind the broader aspect of competitive position of the firm. In effect, there are numerous observations that can be made with respect to the balance sheet. With this, we complete the theoretical concepts regarding the balance sheet. We will now provide the reader a couple of examples of real-life balance sheet to enhance their understanding and analytical skills.

Bholuram: One last question Finnova, if understanding balance sheet is so simple, then why do consultants charge astronomical sums to help us analyze them?

Finnova: Sorry Bhola! I also do not have any clue.

8

CHAPTER

Balance Sheet Examples

Now that our concepts regarding the balance sheet are clear, let us look at one more example of real-life balance sheet. Out of the three formats of the balance sheet that have been listed, the standard format is the most useful as it helps in quick understanding. It gives us a clear and complete picture of a company's state of affairs. The other formats are imperative because the local laws often ask companies to provide their balance sheet in those formats. We revisit here the balance sheet of Hindustan Unilever Limited for the financial year 2007 (Table 8.1).

At first glance, we understand that the company's size at the end of FY2007 was approximately Rs. 6,900 crores. On the asset side, we observe that a large amount of the company's funds are invested in current assets (also known as working capital items) and are part of its operating cycle (Rs. 3,439 crores), the largest among them being inventories standing at Rs. 2,022 crores. Hindustan Unilever's balance sheet shows a smaller size of fixed assets (Rs. 1,748 crores out of Rs 6,830 crores) indicating the non-capital intensive nature of the business. The company also boasts of large investments of Rs. 1,429 crores, possibly indicating lack of investment opportunities in its existing business.

On the liability side of the balance sheet, we observe that the company was (surprisingly) having a very high amount of current liabilities (Rs. 5,194 crores). This possibly indicates the nature of the business and also the willingness of Hindustan Unilever's suppliers to give the company larger credit for longer time period. The company's capital employed shows very low dependence on long-term liabilities (being just Rs. 103

Table 8.1 ***Balance Sheet of Hindustan Unilever Limited for the Financial Year 2007***

Balance Sheet as at 31st December, 2007 (all figures in Rs. Crores)

Assets		Liabilities	
Current Assets	**Amount**	**Current Liabilities**	**Amount**
Cash & bank balances Loans & advances Sundry debtors Inventories	262 670 485 2,022	Liabilities Provisions	3,898 1,296
Total Current Assets	**3,439**	**Total Current Liabilities**	**5,194**
Fixed Assets		**Long-term Liabilities**	
Net fixed assets Capital work in progress	1,559 189	Secured loans Unsecured loans Others	39 63 1
Total Fixed Assets	**1,748**	**Total Long-term Liabilities**	**103**
Other Assets		**Shareholders' Funds**	
Investments Deferred tax assets	1,429 214	Capital Reserves & surplus	218 1,315
Total Other Assets	**1,643**	**Total Shareholders' Funds**	**1,533**
Total Assets	**6,830**	**Total Liabilities**	**6,830**

crores of long-term liabilities out of Rs. 1,636 crores of capital employed). This possibly indicates that the company does not need any long-term liabilities due to the availability of large shareholder(s) funds (Rs. 1,533 crores) and also lack of new investment opportunities.

Balance Sheet of Infosys: Standard Format

Having taken a look at a manufacturing and marketing company, we now take a look at a service sector company, namely, Infosys Technologies Limited. Most of us do realize that Infosys happens to be one of the largest software companies in India and hence looking at its balance sheet would be interesting. We will have a look at the balance sheet of Infosys in a standard format for the financial years ending 2007 and 2008 (Table 8.2).

Table 8.2 *Balance Sheet of Infosys Technologies Limited (standard format) for the Financial Years Ending 2007 and 2008*

Balance Sheet as at 31st March, 2007 and 2008 (all figures in Rs. Crores)

Assets	Year 2007	Year 2008	Liabilities	Year 2007	Year 2008
Current Assets	**Amount**	**Amount**	**Current Liabilities**	**Amount**	**Amount**
Cash & bank balances Loans & advances Sundry debtors Inventories	5,834 1,251 2,436 0	6,950 2,771 3,297 0	Liabilities Provisions	1,469 681	1,912 2,279
Total Current Assets	**9,521**	**13,018**	**Total Current Liabilities**	**2,150**	**4,191**
Fixed Assets			**Long-term Liabilities**		
Net fixed assets Capital work in progress	2,806 965	3,453 1,324	Other Long-term Liabilities	4	0
Total Fixed Assets	**3,771**	**4,777**	**Total Long-term Liabilities**	**4**	**0**
Other Assets			**Shareholders' Funds**		
Investments Deferred tax assets	25 92	72 119	Capital Reserves & Surplus	286 10,969	286 13,509
Total Other Assets	**117**	**191**	**Total Shareholders' Funds**	**11,255**	**13,795**
Total Assets	**13,409**	**17,986**	**Total Liabilities**	**13,409**	**17,986**

The assets are represented on the left side and liabilities on the right. For the financial year 2008, we see that the main component of Infosys' current assets is the cash balance, which stands at a massive Rs. 6,950 crores. It has also forwarded loans worth Rs. 2,771 crores and has a debtors' balance of Rs 3,297 crores. Obviously, Infosys, being an IT software player, will not have any inventory to speak of, a fact which is appropriately reflected in the balance sheet.

There is a figure of Rs. 3,453 crores listed as Net Fixed Assets. This means that the amount of accumulated depreciation is subtracted from the gross value of the fixed asset and the net (balance) figure has been provided as the figure for net assets. Capital work in progress for Infosys stands at Rs. 1,324 crores. Investments and deferred tax assets are part of the other assets of Infosys standing at meager levels of Rs. 72 crores and Rs. 119 crores, respectively.

On the liabilities side (for FY 2008), the short-term liabilities stand at Rs. 1,912 crores. It is to be noted that Infosys Technologies has listed its provisions as part of Current Liabilities. Hence, the figure of Rs. 2,279 crores relates to provisions related to current items. A very common provision created in respect of current liabilities is *provision against bad and doubtful debts.* The company usually anticipates a percentage of its receivables (debtors) defaulting, i.e., not paying their dues. So, a provision amounting to a specific percentage (which depends on the discretion of the company) is created to prepare the company for that eventuality. Such a provision is known as the *Provision for Bad and Doubtful Debtors.*

The long-term liabilities (which may be items like secured or unsecured loans) are non-existent (for 2008), which suggests that Infosys is not dependent on external sources to finance its business. In all probability, its internal profits are large enough to take care of its expansion plans and future prospects. The shareholder(s) fund consisting of Capital and Reserves and Surplus stands at a massive Rs. 13,795 crores.

A year-on-year comparison of the past two balance sheets conveys that most of the balance sheet items had a positive growth in FY 2008, conveying the good growth of the company during the year while the overall size of balance sheet went up by around 34% (from Rs.13,409 crores to Rs. 17,986 crores), the largest increases were in loans and advances item of current assets (growth of above 120%) and provisions of current liabilities (growth of over 235%). These items do indicate the increasing importance of working capital items in the changing business scenario (operating cycle).

The matters in the balance sheet of a concern vary with the type of business that the firm is engaged in. For example, here we have the case of Infosys, which being an IT company has zero inventory. In general too, an IT company has insignificant amount of inventory. In a manufacturing concern such as Hindustan Unilever, we observed the very high level of inventory (should be both as raw materials and as finished goods inventory).

Exercises

These are a few questions that will help you test your concepts.

1. The ease with which an asset can be converted to cash is referred to as:

(a) Spread (b) Liquidity
(c) Both (a) and (b) (d) None of the above

2. The decrease in the economic utility of a tangible fixed asset (say, due to wearing out or using up) is best known as:

(a) Devaluation (b) Utilization
(c) Depreciation (d) None of the above

3. Aniket Pizza Limited has current assets worth Rs 5,275,000, current liabilities and provisions worth Rs. 1,000,000, zero long-term liabilities, and shareholders, equity totaling Rs 5,000,000. The total assets of the company would be:

(a) Equal to Rs. 6,000,000
(b) Less than Rs. 6,000,000
(c) More than Rs. 6,000,000
(d) Insufficient information

4. A company's total liabilities and shareholders' equity amounts to Rs. 850,000, long-term assets to Rs. 500,000, accounts receivable to Rs. 50,000 and inventory to Rs. 100,000. The only other current asset account shown on the balance sheet is cash. The value of the cash would be:

(a) Rs. 100,000 (b) Rs. 150,000
(c) Rs. 200,000 (d) Rs. 250,000

5. Answer the following by completing the blank.

5.1 An increase in an asset in a position statement is possible by:

a. ______________________________
b. ______________________________
c. ______________________________

5.2 An increase in a liability could result in:

a. ______________________________
b. ______________________________
c. ______________________________

5.3 Outsiders claim against the assets of an entity is called:

____

6. Mark whether the following statements are "True" or "False" by marking T or F opposite each statement.

6.1 An increase in an asset always results in an increase in the owner(s') equity. (T/F)

6.2 Assets = Liabilities + Owners' Equity is always true. (T/F)

6.3 An increase in the assets could be equated by an increase in the liabilities. (T/F)

6.4 Losses result in an increase in the owner(s) equity. (T/F)

6.5 Some companies, instead of having cash on their balance sheet, have a line of credit or bank indebtedness (i.e., negative balance in their bank current accounts). (T/F)

6.6 Current Assets are liquid and will be converted to cash within one year or one operating cycle. (T/F)

7. Complete the following blanks:

7.1 Assets on a balance sheet are usually grouped together as:

a. ________________ assets

b. ________________, ________________ and equipment

c. ________________ assets

7.2 Claims against the assets on the balance sheet are summarized as:

a. ________________ liabilities

b. ________________, ________________ liabilities

c. ________________ equity

8. Fill in the blanks:

8.1 As a convention, items appearing on the balance sheet are listed in the order of their relative ________________.

8.2 A balance sheet can be presented either in:

a. ________________ form, or in

b. ________________ form, or in

c. ________________ form.

8.3 Short-term investments are valued in the balance sheet as lower of ________________ or ________________.

8.4 Accounts receivable are also referred to as ________________.

8.5 The expired cost with respect to a fixed asset is referred to as ________________.

8.6 Sundry creditors are also referred to as ________________.

8.7 We classify an item as current assets if they are to be converted into cash during a ________________.

9. Fill in the blank(s) with appropriate word(s):

9.1 A balance sheet is a statement of ________ ________ ________.

9.2 ______________________ represents the owner(s') claim against the assets of a business.

9.3 __________ are claims of outsiders against the business.

9.4 ____________ increases the owner(s) equity.

9.5 Amounts owed by a business on account of purchase of inventory are usually called ________________________ or ______________________.

9.6 Amounts receivable by a firm against credit sales are usually called ______________ or ___________________________.

9.7 As a general rule, all assets are valued at their ________________ to the business.

9.8 Owners equity could be understood as comprising of two parts: ___________________ and ________________________

10. Fill in the blank(s) with appropriate word(s).

10.1 Marketable securities would be valued at ________________ basis when their market price is lower than the historical cost.

10.2 Marketable securities would be valued at ________________ basis when their market price is higher than the historical cost.

11. Fill in the blank(s) with appropriate word(s).

11.1 Raising a loan increases ___________ and __________ in the balance sheet.

11.2 Paying a trade creditor reduces __________ and ____________ in the balance sheet.

11.3 The payment of salary expenses reduces __________ and _____________ in the balance sheet.

11.4 Receiving cash for services performed increases ________ and _____________ in the balance sheet.

11.5 Highly liquid and marketable financial securities which will be converted in to cash within one year are classified as __________.

11.6 The accumulated profits of a business entity are called as _____________.

11.7 The two types of shares that a business entity can issue as part of its share capital are _____________ and ______________.

12. For each item listed below, please indicate the category (Assets/ Liability/Capital) of the item in the accounting equation:

Term Loan; Preference Shares Issued; Salary Advance; Bill Receivable; Accounts Receivable; Accounts Payable; Electricity Bill Payable; Dividend Payable; Wages; Debentures Issued; Building; Advance from Customers.

Keys

1. (b)

2. (c)

3. (a) [assuming current liabilities include all provisions, if any]

4. (c)

5. Fill in the Blanks:

5.1 (a) Increase in liabilities

(b) Increase in equity

(c) Decrease in any other asset

5.2 (a) Increase in asset

(b) Decrease in other liabilities

(c) Decrease in owner(s') equity

5.3 Liabilities

6. True or False Statements:

6.1 - F

6.2 - T

6.3 - F

6.4 - F

6.5 - T

6.6 - T

7. Fill in the Blanks:

7.1 (a) Current Assets

(b) Property Plant and Equipment

(c) Intangible Assets (or Other Assets)

7.2 (a) Current Liabilities
(b) Long-term Liabilities
(c) Shareholders' Equity

8. Fill in the Blanks:

8.1 - Liquidity
8.2 - (a) Standard or Horizontal
(b) Vertical Format
8.3 - Lower of cost or market price
8.4 - Sundry Debtors (or Trade Receivables or Trade Debtors)
8.5 - Depreciation / Amortization
8.6 - Accounts Payable (or Trade Payables or Trade Creditors)
8.7 - Accounting Period or Operating Cycle

9. Fill in the Blanks:

9.1 - Assets, liabilities, owner(s) equity
9.2 - Total Shareholders Equity (Net worth)
9.3 - Liability
9.4 - Profits or Gains
9.5 - Sundry Creditors or Accounts Payable
9.6 - Sundry Debtors or Accounts Receivable
9.7 - Original Historical Cost
9.8 - Contributed Capital (or Invested Capital or Issued Share Capital) and Retained Earnings (or Reserves and Surplus)

10. Fill in the Blanks:

10.1 - Market Price
10.2 - Historical Cost

11. Fill in the Blanks:

11.1 - Long-term Liabilities, Cash Balance
11.2 - Current Liability, Cash
11.3 - Cash, Owner(s') Equity
11.4 - Cash, Owner(s') Equity
11.5 - Current Assets
11.6 - Reserves and Surpluses
11.7 - Ordinary Shares, Preference Shares

12. Classification:

Assets	Liabilities	Capital
Loose tools Salary advance Bills receivables Accounts receivables Building	Term loan Account payable Electricity bill payable Dividend payable Wages Debenture issued Advances from customers	Preference shares issued

The McGraw·Hill Companies

Index

H

I

L

M

N

O

P

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Ramachandran has been in academics for the past 35 years. He joined the finance faculty of Indian Institute of Management (IIM), Calcutta, immediately after completing the doctoral program. Later, he shifted to Asian Institute of Technology (AIT), Bangkok, as Visiting Professor in 1999 and took up the position of Chief Internal Auditor from 2002. Currently he is the principal consultant with Management Advisory Services, Kochi, Kerala. He has been also associated as a consultant with several projects of government and non-government agencies in various countries including India, Thailand, Laos, Sri Lanka, Cambodia and Vietnam. His areas of interest include Financial Structure of Industries, Corporate Financial Accounting and Strategic Cost Management.

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Kakani has rich experience in both corporate sector and academics. He joined XLRI, Jamshedpur, in 2001. Earlier, he had also worked as a residential academic in many international locations including Copenhagen, Dubai, and Singapore. His research work has been supported by ABRC of London Business School and the National Stock Exchange of India. His recent achievements include being among the top 1% of SSRN authors' ranking (2007), co-authoring a few popular text books, and receiving the 2005 AIMS Best Young Teacher Award. His areas of interest include Corporate Finance, Corporate Strategy, Financial Analysis, and Study of Business Groups.